

Second, one of the reasons families like businesses is that they earn money from them. Money invested in other ways may pay little or no dividends (see below). Businesses, typically, can be managed so as to provide their vigilant owners with substantial streams of income.

This is partly because it is difficult to sell off a business in little pieces. If you have 200,000 shares of a stock, it is easy to sell a few shares every time you need a little ready cash. Each time you sell some shares, your stream of dividend income gets smaller.

Not so with a business. You can't sell it in pieces, normally. It's all or nothing. So as long as you have it, you get the full income stream.

Third, a business is not dead capital. It is alive in almost every sense of the word. It includes living people: customers, employees, managers, competitors, and suppliers. This requires owners to have real, human relationships, with the loyalties and responsibilities that go along with them.

It also requires dynamic, ongoing management. It needs control. It needs vision. It needs energy. And it is not just an abstraction. A business has a very real, physical sense, too. There are buildings. Machines. Trucks. There is a place.

Fourth, not only does this connect a family to the source of its wealth, it gives family members a way to participate. They can work together—even family members with very different skills. One may be a genius accountant. Another may be a good truck driver. Another may have great “people skills.” In a business of a certain size, there is room—and need—for just about everyone.

Fifth, a family business helps the whole project of wealth preservation over several generations because it helps everyone understand how money is made and what it is worth. It helps avoid the “trustafarian” problem, in which young people are cut off from the source of their wealth and unable to understand it or contribute to it in a meaningful way.

Given these advantages, a family fortune based on a family business does not have to be as big as a fortune based on cash. You can easily see why that is.

The stock market currently has a dividend yield of about 2.5 percent. Ten-year U.S. notes have a yield of about the same amount. So if you are aiming for income of \$100,000 per year, you need \$4 million worth of stock. Or if